



Flexible Pay Allowance (FPA) Policy

Aligned with Income Tax Act 2025 and Income Tax Rules 2026

Version 1.0

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Document Change Control

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Policy Note

This policy is effective from April 1, 2026, and supersedes all prior FPA-related policies at Inadev India Pvt Ltd. It is a confidential internal document. Reproduction or external distribution without the written consent of the Talent Management function is not permitted.

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Purpose

This policy defines the structure, eligibility, limits, and compliance requirements for the Flexible Pay Allowance (FPA) at Inadev India. The FPA enables employees to optimise take-home pay through tax-efficient salary components within the limits prescribed under the Income Tax Act 2025 and the Income Tax Rules 2026, effective April 1, 2026.

Strategic Objectives

- Align compensation structures with new tax regime realities
- Improve employee experience through flexibility

Scope

This policy applies to all full-time employees of the organisation. It excludes consultants, contractors, trainees and temporary staff. All CTC at Inadev India is structured as follows:

Component	Basis	Regime Applicability
Basic Salary	50% of Annual Fixed CTC	Both Tax Regimes
House Rent Allowance (HRA)	50% of Annual Basic	Old Tax Regime only
Flexible Pay Allowance (FPA)	Residual balance — Annual Fixed CTC minus Basic, HRA, and Retirals	Regime-dependent per component
Retirals and Benefits (Gratuity, EPF, Medical Insurance)	Computed on Basic; deducted before the residual is determined	Both Tax Regimes

FPA Eligibility

CTC Band	FPA Access	Note
Below ₹5,04,000 per annum	Food card & NPS only	ESIC-eligible employees. Salary structure governed by the ESI Act 1948.
Above ₹5,04,000 per annum	Full FPA (all components)	Employee may select applicable components subject to limits below.

FPA Components and Limits

The FPA is funded from within the Special Allowance component of the CTC. All components listed below are subject to the specified supporting documentation. **The total of claimed FPA components cannot exceed the Special Allowance amount.**

FPA Component	Monthly Limit	Annual Limit	Tax Regime	Statutory Reference
Food Card <i>₹200/meal × 2 meals × 22 working days. Employees can select between one or two meals per day</i>	One meal - ₹4,400 Two meals - ₹8,800	₹52,800 (One meal) ₹1,05,600 (Two meals)	Both Tax Regimes	Perquisite Rule — IT Rules 2026
Children's Education Allowance <i>₹3,000/month per child, maximum 2 children</i>	₹3,000/child	₹36,000 (One child) ₹72,000 (Two children)	Old Tax Regime	u/s 10 (14) — IT Rules 2026
Children's Hostel Allowance <i>₹9,000/month per child, maximum 2 children</i>	₹9,000/child	₹1,08,000 (One child) ₹2,16,000 (Two children)	Old Tax Regime	u/s 10 (14) — IT Rules 2026
NPS — Employer Contribution <i>14% of Basic (New Regime) 10% of Basic (Old Regime)</i>	14% / 10% of Basic	Indicative: ~10/14% of monthly Basic)	Both Tax Regimes	u/s 80CCD (2) — outside ₹1.5L 80C limit
Car Allowance – Component restricted to Managers and above <i>≤1.6L No Driver: ₹8,000/month ≤1.6L With Driver: ₹11,000/month >1.6L No Driver: ₹10,000/month >1.6L With Driver: ₹13,000/month</i>	₹8,000 / ₹11,000 ₹10,000 / ₹13,000	Per engine & driver option selected	Old Tax Regime	IT Rules 2026 — Perquisite Valuation Rules
Leave Travel Allowance (LTA) <i>Actual fare 2 journeys in a 4-year block Domestic travel only</i>	Actual fare	Actual fare (indicative: ~0.42 month Basic)	Old Tax Regime	u/s 10(5) — IT Act 2025
Telephone & Internet Allowance <i>Company policy limit: ₹1,500/month Connection must be in the employee's name and used for official purposes</i>	Actual bills (policy cap: ₹1,500) Higher limit allowed for Directors and above. Check your eligibility with the Talent Management team	Actual bills (policy cap: ₹18,000)	Both Tax Regimes	Rule 3(7)(ix) — IT Rules 2026

FPA will be treated as fully taxable in the absence of valid supporting documents.

Tax Regime and FPA Introduction

Employees must declare their tax regime choice at the start of each financial year. The choice determines which FPA components are available:

Component	New Tax Regime	Old Tax Regime
HRA **	Not applicable	Exempt — 50% / 40% of Basic
Food Card	Exempt	Exempt
Children's Education & Hostel Allowance	Not applicable	Exempt — IT Rules 2026 limits
NPS Employer Contribution	Exempt — 14% of Basic	Exempt — 10% of Basic
LTA and Car Allowance	Not applicable	Exempt — within prescribed limits
Telephone & Internet Allowance	Exempt — against actual bills	Exempt — against actual bills

** HRA classification is determined by the employee's place of residence, and employees may claim benefits accordingly.

- **Metro cities for HRA (50%):** Delhi, Mumbai, Kolkata, Chennai, Bengaluru, Hyderabad, Pune, Ahmedabad [Rule 279, IT Rules 2026]
- **Non-metro cities (40%):** All other cities, including Noida, Gurugram, Jaipur, etc.

Employee State Insurance Corporation (ESIC) Applicability

ESIC (Employee State Insurance) applies to employees whose monthly basic is less than ₹21,000. At INADEV, this corresponds to a CTC of approximately ₹5,04,000 per annum or below.

- Total contribution: 4% of Annual Basic
- FPA components are structured so that employees above ₹5,04,000 CTC will not be ESIC-eligible
- Employees covered under ESIC will have access to both ESIC and group medical insurance. They may choose to retain only ESIC or opt for both ESIC and Mediclaim coverages.

Employee Provident Fund (EPF)

- EPF is calculated on Basic salary only
- Default: EPF capped at ₹1,800/month (12% of ₹15,000, the statutory wage ceiling)
- Employees who wish to contribute at the higher uncapped rate (12% of actual Basic) may opt in at the time of joining or during the annual benefits window
- Employees opting for uncapped EPF may additionally contribute via Voluntary Provident Fund (VPF), a maximum upto 100% of annual basic, including the employee and employer PF contributions
- Statutory basis: Employees' Provident Funds and Miscellaneous Provisions Act, 1952

Voluntary Provident Fund (VPF)

- Voluntary Provident Fund (VPF) is an optional contribution made by employees towards their Provident Fund account, over and above the mandatory 12% EPF contribution. **It is not a compulsory investment**
- There is no employer contribution towards VPF
- The combined contribution to EPF + VPF can go up to 100% of the employee's basic salary
- Interest on VPF is earned at the same rate as EPF
- For further details, please refer to the VPF Scheme guide available on the Skill Portal/TSCiON

Gratuity

- Gratuity provision is computed at 4.81% of annual Basic salary (equivalent to 15 days' wages per year of service)
- Payable on separation after completion of 5 years of continuous service
- Statutory basis: Payment of Gratuity Act, 1972

Declarations

- Employees must submit the Investment Declaration to Finance by April of each financial year
- The declaration window will open once again on October 1 each year, and employees can change their NPS or PF contributions only
- For PF, only minimum PF holders can move to the maximum slab. **Once an employee opts for the maximum contribution, the contribution level cannot be reduced during their tenure with the organisation**
- Mid-year additions or changes to FPA elections are permitted only for qualifying life events (birth of a child and relocation) and require the Finance/Talent Management team's approval

Documentation Requirements

Employees must submit valid supporting documents to claim exemptions under the Flexible Pay Allowance (FPA). Any components that are unclaimed or lack appropriate documentation will be treated as taxable salary. All tax-saving documents must be submitted to Finance by the end of the financial year. In the case of separation, employees are required to submit all tax-saving proofs at the time of exit to facilitate the timely processing of their full and final (F&F) settlement.

FPA Component	Required Documentation
HRA	• A rent agreement signed by the landlord and the employee • Rent receipts signed by the landlord If annual rent > ₹1,00,000: • A bank statement clearly showing the transfer • Landlord's PAN Relationship with landlord to be disclosed if rent is paid to a family member.
Food Card	No bills required — disbursed via food card platform
Children's Education & Hostel Allowance	Education: • School fee receipt/tuition fee receipt • School ID card (copy) • Admission letter / Bonafide certificate Hostel: • Hostel fee receipt • Hostel certificate from school/institution • Combined fee receipt (tuition + hostel, if applicable)
Telephone & Internet	• The connection must be registered in the employee's name • Original bills must be submitted in the employee's name • Both prepaid and postpaid connections are accepted
Leave Travel Allowance (LTA)	Travel must be undertaken within India only, and the exemption is available for a maximum of 2 journeys within a block of 4 years. Only travel expenses are eligible for exemption; accommodation and local expenses are not covered. Employees are required to submit the following documents to validate their claims: • Air Travel: Flight tickets + boarding passes • Rail Travel: Train tickets (e-ticket or physical) • Bus Travel: Bus tickets/invoice • Car Travel: Fuel bills + travel declaration The exemption covers travel for the employee, spouse, children and dependent parents or siblings.
Car Allowance	The vehicle should be registered in the employee's name (Component restricted to Managers and above). Employees are required to submit the following documents to validate their claims: • Copy of the Registration Certificate (RC) / Blue Book (proof of ownership) • Valid insurance documents along with payment receipts • Fuel receipts clearly mentioning the vehicle number (receipts without vehicle details will not be accepted) • Maintenance and servicing bills • Monthly salary receipts and a valid driving license (if a driver is engaged)

Risk Management

The Company adopts a compliance-first approach in administering the Flexible Pay Allowance (FPA).

Any misuse, including the submission of invalid or non-compliant claims, misrepresentation of expenses, or incorrect declarations, shall be treated as misconduct and may lead to disciplinary action, including recovery of amounts and further action in accordance with company policy.

Non-compliance with applicable tax regulations, including incorrect classification or inadequate documentation, may result in the reversal of tax benefits, additional employee tax liabilities, and financial penalties for the Company. The Finance team will implement appropriate controls, including documentation verification and periodic audits, to mitigate risks associated with FPA administration.

Governance and Review

- This policy is jointly owned by the Talent Management and Finance teams
- It will be reviewed periodically and updated to reflect changes in applicable tax laws and the Company's compensation philosophy
- Employees with queries regarding FPA structuring or tax regime selection should contact the Finance team. For personalized tax advice, employees are encouraged to consult an independent tax advisor
- Inadev does not guarantee specific tax outcomes; eligibility for exemptions is subject to individual circumstances and applicable laws

Frequently Asked Questions

This FAQ is intended to help employees understand the new FPA framework introduced as part of the compensation restructuring exercise effective FY 2026-27. For detailed policy provisions, please refer to the official FPA Policy document. For any queries not covered here, contact accounts.india@inadev.com.

General — FPA Overview

Q1	What is the Flexible Pay Allowance (FPA)?
A	FPA is a tax-efficient salary component that allows you to optimise your take-home pay by allocating part of your compensation towards eligible, tax-exempt allowances. It is funded from the Special Allowance portion of your CTC and is governed by the Income Tax Act, 2025, and Income Tax Rules, 2026, effective April 1, 2026.

Q2 What Who is eligible for FPA?

A All full-time employees are covered under this policy. Consultants, contractors, trainees, and temporary staff are excluded.

There are two eligibility tiers:

- Below ₹5,04,000 per annum CTC: Access to Food Card and NPS only (ESIC-governed employees).
- Above ₹5,04,000 per annum CTC: Full FPA access — all components subject to prescribed limits.

Q3 Does FPA change my total CTC?

A No. FPA is a restructuring of how your existing CTC is allocated — it does not increase or reduce your total cost to company. The goal is to maximise your in-hand pay through tax-efficient categorisation.

Q4 Is FPA available under both Old and New Tax Regimes?

A Some FPA components are available under both regimes, while others are exclusively under the Old Tax Regime. Please refer to the table below:

Food Card, NPS Employer Contribution, and Telephone & Internet allowances are available under both regimes. HRA, LTA, Children's Allowances, and Car Allowance are Old Regime only.

Salary Structure & Components

Q5 How is my salary structured under the new framework?

A Your Annual Fixed CTC comprises four broad elements:

- Basic Salary — 50% of Annual Fixed CTC (applicable under both tax regimes)
- House Rent Allowance (HRA) — 50% of Annual Basic (Old Tax Regime only)
- Flexible Pay Allowance (FPA) — Residual balance after deducting Basic, HRA, and Retirals
- Retirals & Benefits — Gratuity, EPF, and Medical Insurance, computed on Basic

Q6 What are the FPA components I can choose from?

- A** You may opt into one or more of the following, subject to your tax regime and eligibility:
- Food Card (Both Regimes) — ₹4,400/month (1 meal) or ₹8,800/month (2 meals)
 - NPS Employer Contribution (Both Regimes) — 14% of Basic (New) / 10% of Basic (Old)
 - Telephone & Internet Allowance (Both Regimes) — Actual bills, up to ₹1,500/month (*Higher limit allowed for Directors and above. Check your eligibility with the Talent Management team*)
 - Children's Education Allowance (Old Regime) — ₹3,000/month per child, max 2 children
 - Children's Hostel Allowance (Old Regime) — ₹9,000/month per child, max 2 children
 - Leave Travel Allowance / LTA (Old Regime) — Actual domestic travel fare, 2 journeys in a 4-year block
 - Car Allowance— Perquisite Value (Old Regime, Component restricted to Managers and above)

Q7 Can I claim FPA components up to any amount I wish?

- A** No. The total claimed FPA components cannot exceed your Special Allowance amount. Each component also has its own prescribed monetary limit. Any amount claimed without valid supporting documentation will be treated as fully taxable salary.

Tax Regime & Declarations

Q8 When do I need to declare my tax regime choice?

- A** You must declare your tax regime (Old or New) at the start of each financial year, i.e., in April. This declaration determines which FPA components are available to you for that year.

Q9 Can I change my tax regime mid-year?

- A** Tax regime changes are generally not permitted mid-year. The declaration window reopens on October 1 each year for changes to NPS and PF contributions only. For all other FPA elections, changes mid-year are permitted only for qualifying life events — specifically, the birth of a child or relocation — and require approval from the Finance or Talent Management team.

Q10 What is the deadline for submitting my Investment Declaration?

- A** Investment Declarations must be submitted to Finance by April of each financial year. All supporting tax-saving documents must be submitted to Finance by the end of the financial year. In case of separation from the organisation, all proofs must be submitted at the time of exit for Full & Final (F&F) settlement.

HRA (House Rent Allowance)

Q11 How is HRA calculated?

- A** HRA is calculated at 50% of your Annual Basic salary. It is applicable under the Old Tax Regime only. The exemption rates are:
- Metro cities (50% of Basic): Delhi, Mumbai, Kolkata, Chennai, Bengaluru, Hyderabad, Pune, Ahmedabad — as per Rule 279, IT Rules 2026.
 - Non-metro cities (40% of Basic): All other cities including Noida, Gurugram, Jaipur, etc.
- HRA classification is based on your place of residence, not your office location.*

Q12 What documents are required to claim HRA?

- A** You will need to submit:
- Rent agreement signed by both landlord and employee
 - Rent receipts signed by the landlord
- If annual rent exceeds ₹1,00,000, additionally provide:
- Bank statement showing the rent transfer
 - Landlord's PAN
- If rent is paid to a family member, the relationship with the landlord must be disclosed.*

Food Card

Q13 How does the Food Card benefit work?

- A** The Food Card is calculated at ₹200 per meal × 22 working days per month. You may opt for one or two meals per day:
- One meal: ₹4,400/month (₹52,800/year)
 - Two meals: ₹8,800/month (₹1,05,600/year)
- This benefit is available under both tax regimes. No supporting bills are required — the amount is disbursed directly through the food card platform.

NPS (National Pension System)

Q14 How does the NPS Employer Contribution work under FPA?

A The company contributes to your NPS account as part of your FPA:

- New Tax Regime: 14% of Basic salary — tax-exempt under Section 80CCD(2)
- Old Tax Regime: 10% of Basic salary — tax-exempt under Section 80CCD(2)

This exemption is over and above the ₹1.5 lakh 80C limit, making it one of the most effective tax-saving instruments available.

EPF & VPF (Provident Fund)

Q15 How is EPF calculated?

A EPF is calculated on your Basic salary only. By default, the employee and employer contribution is capped at ₹1,800/month each (12% of ₹15,000, the statutory wage ceiling).

If you wish to contribute at 12% of your actual Basic (uncapped), you may opt in at the time of joining or during the annual benefits window. Note: Once you opt for the higher (uncapped) contribution, you cannot reduce it during your tenure with the organisation.

Q16 What is the VPF and how does it differ from EPF?

A Voluntary Provident Fund (VPF) is an optional contribution you can make over and above your mandatory 12% EPF contribution. Key points:

- There is no employer contribution towards VPF.
- The combined EPF + VPF contribution can go up to 100% of your Basic salary.
- Interest on VPF is earned at the same rate as EPF.

VPF is not mandatory. For scheme details, please refer to the VPF Scheme guide on the Skill Portal / TSCiON.

ESIC (Employee State Insurance)

Q17 Who is covered under ESIC?

A ESIC applies to employees with a monthly Basic salary below ₹21,000. At Inadev, this corresponds to a CTC of approximately ₹5,04,000 per annum or below.

ESIC contribution is 4% of Annual Basic. If you are covered under ESIC, you will have access to both ESIC and group medical insurance. You may choose to retain only ESIC or opt for both coverages.

Gratuity

Q18 How is Gratuity calculated and when is it paid?

- A** Gratuity is provisioned at 4.81% of your Annual Basic salary, which is equivalent to 15 days' wages per year of service (as per the Payment of Gratuity Act, 1972).
- Gratuity is payable upon separation from the organisation after the completion of 5 years of continuous service.

LTA (Leave Travel Allowance)

Q19 How can I claim LTA?

- A** LTA covers actual domestic travel fare for a maximum of 2 journeys within a block of 4 years. It is available under the Old Tax Regime only. Accommodation and local expenses are not covered.
- Eligible travellers covered: You, your spouse, your children, and dependent parents or siblings.
- Required documents by mode of travel:
- Air: Flight tickets + boarding passes
 - Rail: Train tickets (e-ticket or physical)
 - Bus: Bus tickets / invoice
 - Car: Fuel bills + travel declaration.

Car Allowance

Q20 Who can avail the Car Allowance benefit and how is it taxed?

- A** The Car allowance FPA component is restricted to employees at Manager level and above, under the Old Tax Regime.
- The taxable perquisite value is as follows:
- Engine ≤1.6L, No Driver: ₹8,000/month | With Driver: ₹11,000/month
 - Engine >1.6L, No Driver: ₹10,000/month | With Driver: ₹13,000/month
- Required documents include: RC/Blue Book, valid insurance, fuel receipts (with vehicle number), maintenance bills, and driver's salary receipts (if applicable).

Documentation & Compliance

Q21 What happens if I do not submit supporting documents for my FPA claims?

- A** Any FPA component that is unclaimed or lacks valid supporting documentation will be treated as fully taxable salary. This means you will lose the tax exemption benefit for that component.

Q22 Can I make changes to my FPA elections during the year?

- A** Mid-year changes to FPA elections are permitted only in case of qualifying life events:

- Birth of a child
- Relocation

Such changes require prior approval from the Finance or Talent Management team. For PF, only employees on the minimum slab may move to the maximum slab — and once opted, this cannot be reversed during tenure.

Q23 What are the consequences of misuse or incorrect FPA claims?

- A** The Company adopts a compliance-first approach. Any misuse — including submission of invalid documents, misrepresentation of expenses, or incorrect declarations — shall be treated as misconduct and may result in:

- Recovery of amounts paid
- Disciplinary action in accordance with company policy
- Reversal of tax benefits and additional tax liability for the employee
- Financial penalties for the Company.

Q24 Who should I contact for FPA or tax-related queries?

- A** For queries related to FPA structuring or tax regime selection, please contact the Finance team. For personalised tax advice specific to your circumstances, you are encouraged to consult an independent tax advisor.

Note: Inadev does not guarantee specific tax outcomes. Eligibility for exemptions is subject to individual circumstances and applicable laws.

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